AMD Initiation Memo

Equity research education project | 3 November 2026 | USD except per share data

View	Closing price	Blended target	Implied return
UNDERPERFORM	**$466.84**	**$320.90**	**(31.3%)**

Investment view

I initiate coverage with an Underperform view and a $320.90 blended price target. AMD is executing in data-center CPUs and AI accelerators, but its $466.84 closing price on 2 November appears to discount a long period of exceptional AI-related growth and margin expansion. My base case already assumes revenue rises from $34.6bn in FY2025 to $80.3bn in FY2029, a 23% CAGR, and operating margin expands from 10.7% to 24.6%. Those assumptions still do not support the current price in my DCF.

Valuation

Method	Value per share	Weight	Contribution
DCF	$150.02	50%	$75.01
Peer EV revenue	$491.78	50%	$245.89

DCF uses a 9.0% WACC and 3.5% terminal growth rate. Peers are NVIDIA, Broadcom and Marvell. The $150-$492 range shows how sensitive AMD's value is to the duration of AI growth and the multiple the market will pay for it.

Catalysts and risks

- Catalysts: Q3 data-center revenue and forward guidance may validate a faster accelerator ramp; clearer customer adoption of MI450 and Helios could extend revenue visibility; sustained gross-margin improvement would support a higher earnings base.
- Risks to the view: AI demand or AMD share gains could exceed the base case; hyperscaler wins could bring better price and volume visibility; product execution, export restrictions or supply constraints could move results either way.

What changes the view

I would revisit the rating if quarterly results demonstrate durable data-center share gains, credible multi-year accelerator demand and cash conversion that supports margins above the base case. I will compare the next release with the model on revenue, gross margin, data-center revenue and management guidance before refreshing the FY2026-FY2029 estimates.

Sources: AMD FY2025 Form 10-K; AMD Q1 and Q2 FY2026 results; AMD investor relations price history; NVIDIA, Broadcom and Marvell investor relations. Full source URLs and model mechanics are in the companion workbook.

Disclosure: I hold AMD shares. This is an educational research project, not investment advice or a solicitation to trade securities. Prepared before AMD's Q3 FY2026 results.